

Q 1. Which agent will not distribute any product other than a micro insurance product ?

- LIC Agent
- General Insurance Agent
- Co-insurer agent
- Micro insurer agent
- Private Insurance company agent

 UnAttempted

CORRECT ANSWER:

Micro insurer agent

Explanation:

A micro insurance agent shall not distribute any product other than a micro-insurance product.

Q 2. The full form of 'NCLT' is _____ .

- National Council for Legal Tests
- Non circulating legal tender
- National center for learning and teaching
- National center for learning and teaching
- National company law tribunal

 UnAttempted

CORRECT ANSWER:

National company law tribunal

Explanation:

The National company law tribunal (NCLT) is a quasi-judicial body in India that adjudicates issues relating to companies in India. The NCLT was established under the Companies Act 2013 .

Q 3. What does partial withdrawal from ULIP provide ?

- It provides profit booking when required
- It provides assets when required
- It provides returns when required
- It provides liquidity when required
- It provides bonus when required

 UnAttempted

CORRECT ANSWER:

It provides liquidity when required

Explanation:

Partial withdrawals is one of the liquidity features that create a value addition to ULIP life policies.

Q 4. What caption is prominently carried on every product under micro finance ?

- Micro life product
- Micro insurance product
- Micro safe product
- General insurance product
- Life insurance product

 UnAttempted

CORRECT ANSWER:

Micro insurance product

Explanation:

As per regulations, Micro-insurance products need prior approval of the authority under 'File & Use' procedure and every such product shall prominently carry the caption "Micro-Insurance Product".

Q 5. If rebates are allowed on life insurance premium, it has to be according to the ____ .

SEBI Rules

Terms and conditions under sec 41

Published prospectus

Tables of the insurer

Legal documents

UnAttempted

CORRECT ANSWER:

Tables of the insurer

Explanation:

Rebates or discounts are given for calculating the yearly and half yearly modes and these practices vary between insurer.

Q 6. To whom will the amount secured by the policy payable ?

Survivors

Policy holder

Assignor

Assignee

Nominee

UnAttempted

CORRECT ANSWER:

Policy holder

Explanation:

If the policyholder is alive, the claimant is the policyholder himself.

Q 7. Appeals before the National Commission can be made within ____ days.

7

15

30

45

60

UnAttempted

CORRECT ANSWER:

30

Explanation:

Appeals before the National Commission, against the order of the State Commission, can be made within 30 days.

Q 8. Insurance in India is regulated by Acts passed in which of these years ?

1939 and 1999

1938 and 1999

1938 and 1998

1937 and 1998

1936 and 1997

UnAttempted

CORRECT ANSWER:

1938 and 1999

Explanation:

Insurance Act of 1938 & IRDA Act of 1999.

Q 9. What is a Micro insurance agent generally paid ?

Fixed Salary

Remuneration

Commission

Bonus
Premium

❌ UnAttempted

CORRECT ANSWER:

Remuneration

Explanation:

A Micro Insurance agent may be paid remuneration for all the functions rendered by him which shall not exceed specific limits.

Q 10. _____ has the power to issue regulations specifying the manner of receipt of premium by the insurer.

LIC
IRDA
Consumer Forums
National Commission
Central Government

❌ UnAttempted

CORRECT ANSWER:

IRDA

Explanation:

The IRDA (Manner of receipt of premium) Regulations prescribe the premium payment methods.

Q 11. To whom shall the amount be payable which is secured by a policy ?

Survivors
Assignee
Assignor

Shareholders
Policy holder

❌ UnAttempted

CORRECT ANSWER:

Policy holder

Explanation:

If the policy holder is alive, the amount will be payable to the policy holder himself.

Q 12. Appeal in National Commission can be made subject to deposit of _____ of the amount awarded or _____ which ever is less.

10% , Rs 35,000
20% , Rs 35,000
30% , Rs 35,000
40% , Rs 35,000
50% , Rs 35,000

❌ UnAttempted

CORRECT ANSWER:

50% , Rs 35,000

Q 13. Who holds a license to act as an insurance agent either for one life insurer or general insurer ?

Composite Insurance Agent
Insurance Agent
Insurance Broker
Corporate Insurance Agent
Re-insurance Agent

❌ UnAttempted

CORRECT ANSWER:

Insurance Agent

Explanation:

An Insurance agent can work for either a Life insurer or General insurer.

Others can act as both life and general insurance agents.

- Q 14. The policy administrative charges for a ULIP cannot be _____ .
- more than 1% per annum
 - more than 2% per annum
 - more than 3% per annum
 - more than 4% per annum
 - more than 5% per annum

☐ UnAttempted

CORRECT ANSWER:

more than 5% per annum

Explanation:

The policy administration charge for a ULIP could be flat throughout the policy term or vary at a pre-determined rate. The pre-determined rate cannot exceed 5% per annum.

- Q 15. When the Insurance Act is silent about any particular feature of transfer of a policy, than _____ act will be applicable.
- Contract Act
 - LIC Act
 - IRDAI Act
 - Transfer of Property act
 - None of above

☐ UnAttempted

CORRECT ANSWER:

Transfer of Property act

Explanation:

When the Insurance Act is silent about any particular feature of transfer of a policy, the provisions of Transfer of Property Act 1882 are applicable.

- Q 16. If the ULIP top-ups are not linked to sum assured, they will not be subject to any _____ .
- Financial underwriting norms
 - TDS deductions
 - Income tax deductions
 - Penalties for late payments
 - Service charges

☐ UnAttempted

CORRECT ANSWER:

Financial underwriting norms

Explanation:

The declared income will generally not be disproportionate to the premium payments whereas, under linked ULIPs, the top-ups, if allowed to be paid without linking them to the sum assured, will not be subject to any financial underwriting norms.

This is therefore put in place to safeguard the financial underwriting norms as well as to maintain the core elements of life insurance business.

- Q 17. Who can charge a fee, not exceeding one rupee, for registering a nomination or cancellation or making a change in nomination ?
- The Underwriter
 - The Authorised broker
 - The Assignee

The Assignor
The Insurer

☐ UnAttempted

CORRECT ANSWER:

The Insurer

Q 18. As per the protection of policy holders interest guidelines, the 'minimum turn around time' specified for processing of proposal and communication of decision including requirement issue of policy / cancellation is _____ days.

7
10
12
15
18

☐ UnAttempted

CORRECT ANSWER:

15

Explanation:

Decisions should be communicated by insurer in writing within a reasonable period not exceeding 15 days from receipt of proposals by the insurer.

Q 19. What do cross border elements bring to the money laundering efforts ?

Legality
Scale
Credibility
Foreign Exchange
None of the above

☐ UnAttempted

CORRECT ANSWER:

Scale

Explanation:

Cross border element add scale to money laundering by electronic transfer.

Q 20. What is the Janshree Bima Yojna of LIC ?

Term insurance plan
Women centric insurance plan
Personal insurance scheme
Insurance cum pension scheme
Group Insurance Scheme

☐ UnAttempted

CORRECT ANSWER:

Group Insurance Scheme

Explanation:

Janashree Bima Yojana was launched on 10th August 2000. The Scheme has replaced Social Security Group Insurance Scheme (SSGIS) and Rural Group Life Insurance Scheme (RGLIS). 45 occupational groups have been covered under this scheme.

Q 21. When a proposal is received by an insurer, it should be processed with speed and the decision should be conveyed in writing within a reasonable period not exceeding _____ days.

7
15
21
30
60

☐ UnAttempted

CORRECT ANSWER:

15

Explanation:

The processing time is 15 days.

Q 22. The full form of RTI is _____ .

Right to Investigate
Right to Implement
Right to Information
Real time Information
Right to Insure

☐ UnAttempted

CORRECT ANSWER:

Right to Information

Explanation:

Right to Information Act 2005 mandates timely response to citizen requests for government information.

Q 23. An assignment will be effective only if it is registered by the insurer in their records.
Against whom will such assignment be effective ?

Insurer
Nominee
Assignee
Assignor
Claimant

☐ UnAttempted

CORRECT ANSWER:

Insurer

Explanation:

Assignment is a transfer of property. It will be effective the moment its assigned, duly signed by the assignor and witnessed. But as against the insurer, it will be effective only if it is got registered by the insurer in their records.

Q 24. An express declaration has to be made by the claimant to GRA that no similar claim has been made before any other _____ .

Insurance Ombudsman
Forum or Tribunal
Consumer authority
Consumer council
Consumer commission

☐ UnAttempted

CORRECT ANSWER:

Forum or Tribunal

Explanation:

Every claimant before the GRA will be required to make an express declaration that no similar claim has been made before any other forum or tribunal and further that he has availed the in-house mechanism of the insurer.

Q 25. The full form of NDPS Act is _____ .

The Narcotic Drugs & Psychosis Substance Act
The Narcotic Drugs & Psychotropic Substance Act
The Narcotic Dosage and Profiteering Substance Act
The Narcotic Drugs & Phrama Substance Act
New Delhi Psychotropic substance Act

☐ UnAttempted

CORRECT ANSWER:

The Narcotic Drugs & Psychotropic Substance Act

Explanation:

The Narcotic Drugs and Psychotropic Substances Act, 1985 extends to the whole of India. It came into force after the Central Government notified it in the Gazette of India on 14 November 1985.

Q 26. The international organisation in charge of monitoring complex money laundering transactions should have a _____ .

Straight forward view
Complex view
Micro level view
Macro level view
Localised view

UnAttempted

CORRECT ANSWER:

Macro level view

Explanation:

Large scale money laundering operations invariably contain cross-border elements. So the international body should have a macro level view concerning various methods / different countries etc. related to ML.

Q 27. When a person makes small deposits in many financial institutions so that they do not attract the attention of enforcement authorities is called _____ .

Telegraphic transfer
Underground banking
Smurfing
Phishing
Subrogation

UnAttempted

CORRECT ANSWER:

Smurfing

Explanation:

Structuring deposits or Smurfing is a method which entails breaking up large amounts of money into smaller, less suspicious amounts.

The money is then deposited into one or more bank accounts either by multiple people (smurfs) or by a single person over an extended period of time.

Q 28. _____ under Married Women's Property Act, are considered as consumers.

Proposer
Agent
Collector
Policy Holder
Ombudsman

UnAttempted

CORRECT ANSWER:

Policy Holder

Explanation:

Under the MWP Act (Married Women's Property Act, 1874,) the policyholder, nominee, assignee, beneficiary of an insurance policy are considered as Consumers.

Q 29. What determines the sum assured ?

Riders attached to the policy
The lock in period
The top up capacity

The policy term
The age of the insured

 UnAttempted

CORRECT ANSWER:

The age of the insured

Explanation:

Age is one of the determinants to consider before offering any amount of life insurance.

Q 30. On receipt of the survey report, the insurer shall within a period of ____ days offer a settlement of claim to the insured.

5
10
15
30
45

 UnAttempted

CORRECT ANSWER:

30

Explanation:

On receipt of the survey report or the additional survey report as the case may be an insurer shall within a period of 30 days offer a settlement of the claim to the insured.

Q 31. What does the IRDAI Act promote ?

It promotes growth of Insurance and Re insurance business
It promotes growth of Life and Non life insurance business
It promotes growth of General insurance and theft insurance

It promotes growth of Life insurance & Reassurance
It promotes growth of Corporate insurance & Reassurance

 UnAttempted

CORRECT ANSWER:

It promotes growth of Insurance and Re insurance business

Explanation:

As per Sec 14 of IRDA Act, IRDAI shall have the duty to regulate, promote and ensure orderly growth of the insurance and reinsurance business.

Q 32. Who will refer the dispute for mediation or conciliation, as an encouragement to ADR (Alternate Dispute Resolution) ?

The District Court judge
The Consumer Court judge
Consumer councils
Grievance Redressal Authorities (GRA)
Consumer commission

 UnAttempted

CORRECT ANSWER:

Grievance Redressal Authorities (GRA)

Q 33. On what basis is the policy issued for workmen's compensation ?

Declaration policy
Fidelity Guarantee
Adjustable premium
Sum assured
Agreement

 UnAttempted

CORRECT ANSWER:

Adjustable premium

Explanation:

Risk in respect of policies issued on the basis of adjustable premium such as Workmen's compensation, Cash in transit etc. is assumed on receipt of provisional premium based on fair estimate.

Q 34. The returns of a ULIP are tax free if the policy duration is for at least ____ years in Germany.

- 5
- 8
- 10
- 12
- 15

☐ UnAttempted

CORRECT ANSWER:

12

Q 35. A company has to be formed under which act to a granted a INSURANCE BROKERS license to them ?

- IRDAI Act 1999
- The Insurance act 1938
- The Companies act 1956
- The Indian Contract Act 1872
- General insurance business (nationalization) act 1972

☐ UnAttempted

CORRECT ANSWER:

The Companies act 1956

Explanation:

The insurance broker license can be granted to Proprietor, Partnership, a Company formed under the Companies Act 1956.

Q 36. Assignment and transfer of policies were amended under Section _____ of the Insurance Act.

- 37
- 38
- 39
- 40
- 41

☐ UnAttempted

CORRECT ANSWER:

38

Explanation:

Section 38 of the Insurance Act 1938 deals with the assignment and transfer of insurance policies.

Q 37. In _____ policy , risk can be assumed if at least the premium calculated on 75% of the sum assured has been received before assumption of the risk.

- Fidelity Guarantee Insurance
- Marine Insurance
- Declaration insurance
- Policies issued on the basis of adjustable premium
- All of the above

☐ UnAttempted

CORRECT ANSWER:

Declaration insurance

Explanation:

This is under exemption to section 64 VB as per rule 59 of the Insurance rule 1939.

Q 38. The full form of 'FGD' is _____ .

Focus Group Discussion
Family Group Discussion
Finance Group Discussion
Fiscal Group Discussion
Future Group Discussion

☐ UnAttempted

CORRECT ANSWER:

Focus Group Discussion

Q 39. Who has recommended that the Grievance Redressal Authorities should be constituted to deal with disputes between the insurer and the intermediaries ?

IRDAI
Law Commission
Ombudsman
Government
Administrator

☐ UnAttempted

CORRECT ANSWER:

Law Commission

Explanation:

The Law Commission has recommended that the Grievance Redressal Authorities (GRA) should be substituted to deal with :

1. Disputes between the insured and insurer

2. Disputes between the insurer and the intermediaries

3. Disputes between the insurer and insurer

Q 40. Which of the following is due to deficiency in service ?

Quick settlement of claims
Issuance of policy receipts
Transfer of files
All of the above
None of the above

☐ UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

The above activities will happen smoothly if there is efficiency in service and not deficiency.

Q 41. The selection committee will recommend the name of _____ for selecting them in the GRA.

permanent members
judicial members
subordinate members
technical members
Chairman

☐ UnAttempted

CORRECT ANSWER:

technical members

Explanation:

The Selection Committee which has members of the Insurance Councils, will recommend the names from among the panel of technical members to be appointed to the GRA.

Q 42. Who is the most important element for a business entity ?

- The buyers
- The Customers
- The Shareholders
- The Policy holder
- The Insurer

UnAttempted

CORRECT ANSWER:

The Customers

Q 43. In all cases, except in _____ insurance, a proposal for grant of a cover, either for life business or for general business, must be evidenced by a WRITTEN document.

- Fire
- Life
- Marine
- Burglary
- Health

UnAttempted

CORRECT ANSWER:

Marine

Q 44. The full form of LIMRA is _____ .

- Life Insurance Management Research Association
- Life Insurance Monitoring and Reporting Authority
- Life Insurance Marketing and Redressal Authority
- Life Insurance Maintenance and Research Association
- None of the above

UnAttempted

CORRECT ANSWER:

Life Insurance Management Research Association

Explanation:

LIMRA, a worldwide research, learning and development organization, is the trusted source of industry knowledge. Established in 1916, LIMRA has been helping more than 850 insurance and financial services companies in 64 countries increase their marketing and distribution effectiveness through industry research and training.

Q 45. Prudential Investment Norms – Compliance Report is submitted on a _____ basis.

- Weekly
- Monthly
- Quarterly
- Half Yearly
- Annually

UnAttempted

CORRECT ANSWER:

Quarterly

Q 46. A ULIP policy holder can safeguard the _____ .

- Value of equity shares in bad times
- Value of the fund in good times
- Value of the fund in bad times
- Value of the asset in good times
- Value of the premium in bad times

UnAttempted

CORRECT ANSWER:

Value of the fund in bad times

Explanation:

In ULIPs, the policy holder has the option to switch from one fund to another, which would help in safeguarding the value of their funds in difficult times.

Q 47. In which type of insurance do we have the FREE LOOK period ?

Fire insurance
Life insurance
Marine insurance
Wealth insurance
Motor insurance

☐ UnAttempted

CORRECT ANSWER:

Life insurance

Explanation:

If a person is not satisfied with the terms of his life insurance policy, he can return the policy within 15 days from the receipt of policy document. This is known as Free Look period.

Q 48. What shall be the death benefits as a % of the total premiums paid (including topups) ?

Not less than 105%
Not less than 125%
Not more than 120%
Not more than 105%
Not less than 115%

☐ UnAttempted

CORRECT ANSWER:

Not less than 105%

Explanation:

At no time the death benefit (minimum sum assured) shall be less than 105% of the total premiums (include top – ups paid)

Q 49. Section 59(1) of the Insurance Rules 1939 states that risk may be assumed without referring to the specified authorities if there is a deposit made with the insurer at a suitable rate not less than _____ per mille.

1
1.5
2
2.5
3

☐ UnAttempted

CORRECT ANSWER:

2.5

Q 50. A renewal application for insurance brokers license is processed in the same manner as that done with a new application. This is as per Regulation ____ .

10
13
34
35
19

☐ UnAttempted

CORRECT ANSWER:

13

Explanation:

Renewal of Licence - As per IRDA regulation 13, the application for a renewal shall be dealt with in the same manner as per fresh application.

Out of 50 questions 50 are un attempted.